

US Bond Market **Weekly Update**

10yr Treasury 4.94% ▲ 15 bps MTD	2yr Treasury 4.67% ▲ 28 bps MTD	IG OAS 78 bps ▼ 3 bps MTD	HY OAS 270 bps ▲ 5 bps MTD
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WORD ON THE DESK

The week ending September 18th was defined by a persistent bear-steepening impulse across the Treasury curve, as yields moved higher across tenors and risk assets struggled to find footing amid renewed rate sensitivity. Investment-grade credit held up better on a spread basis relative to high yield, but absolute total returns were negative across the board as duration headwinds dominated. The macro backdrop remains one of tension between resilient growth narratives and a Fed leadership that is threading a careful needle — sustaining expansion without prematurely easing financial conditions. For portfolio managers, the near-5% threshold on the 10-year warrants attention as both a technical and psychological level that could accelerate flows into duration if breached convincingly to the upside. In the weeks ahead, the September FOMC meeting outcome, inflation data trajectory, and supply technicals in IG credit will be the primary drivers of price action.

MARKET COMMENTARY

01 Treasury yields moved broadly higher on the week, with the 2-year note closing at 4.67% and the 10-year approaching a psychologically significant 4.94% — both representing meaningful moves off their respective September month-start levels of 4.39% and 4.79% [DATA: as of 2026-09-17]. The 30-year long bond settled at 5.29%, essentially flat to the 20-year at 5.32%, reflecting the persistent inversion at the long end of the curve. Year-over-year, the 10-year is 83 basis points wider than the 4.11% registered in September 2025, underscoring the sustained repricing of the long end over the past twelve months.

→ The 2s10s spread widened to approximately 27 basis points (4.94% minus 4.67%), continuing a gradual steepening trend from month-start levels where the differential stood at 40 basis points — the week's move was actually a modest flattening within the month, as the front end sold off more aggressively.

→ The 2s30s spread of roughly 62 basis points remains well off the deep inversion seen through much of 2024-2025, suggesting the market is beginning to price in a longer 'higher-for-longer' equilibrium rather than an imminent easing cycle.

02 Investment-grade corporate credit continued to demonstrate relative resilience on a spread basis, with IG OAS tightening 3 basis points month-to-date to 78 bps as of September 17th [DATA: as of 2026-09-17], even as absolute total returns turned negative at -0.33% for the week [DATA: as of 2026-09-17]. The spread compression reflects ongoing demand from insurance companies and pension funds extending duration into the higher-yield environment, providing a technical bid that has partially insulated the sector from the broader Treasury selloff. Supply dynamics remain a key watch item — September is historically one of the heaviest issuance months of the year, and robust new issue activity could begin to test the market's capacity to absorb paper without spread concessions widening.

→ The negative MTD total return despite spread tightening is a textbook illustration of duration risk overwhelming carry — at current levels, even modest yield moves of 10-15 basis points translate into meaningful mark-to-market losses for longer-duration IG portfolios.

→ Managers running benchmark-relative strategies should note that the -3 bps MTD spread move in IG is a positive signal for excess returns, though this is more than offset by the duration drag in total return space.

03 High-yield credit underperformed investment grade on both a spread and total return basis this week, with HY OAS widening 5 basis points month-to-date to 270 bps [DATA: as of 2026-09-17] and total returns registering -0.57% [DATA: as of 2026-09-17]. The spread widening, while modest in absolute terms, is directionally notable given that IG spreads moved tighter over the same period — a divergence that suggests some rotation away from beta risk at the margin. At 270 bps, HY OAS remains historically tight by multi-year standards, leaving limited cushion should macro conditions deteriorate or rate volatility persist.

→ The IG-HY spread differential of 192 basis points (270 bps minus 78 bps) is at the tighter end of the historical range, which historically has been associated with periods of compressed compensation for credit risk — a signal that warrants caution on adding HY exposure at current levels.

→ Risk appetite in HY will be closely watched heading into Q4, as refinancing conditions for lower-rated issuers become incrementally more challenging in a sustained high-rate environment.

04 Federal Reserve Chair Kevin Warsh, speaking on September 16th, adopted a measured neutral tone, stating that 'the Fed has a role in sustaining the economic progress happening in America right now and the rising opportunities that come with it' — language that notably avoided explicit rate guidance and emphasized supporting growth without signaling a near-term policy pivot. Separately, Vice Chair for Supervision Michelle Bowman delivered remarks on September 18th from a neutral posture as well, though the specific content of her speech was not available at publication time. The alignment of both senior officials around a neutral, growth-supportive framing suggests the FOMC is in a deliberate holding pattern ahead of what is expected to be a data-dependent rate decision.

→ Chair Warsh's language — emphasizing 'rising opportunities' — could be read as subtly optimistic on the growth outlook, which in the current context argues against near-term easing and supports the market's repricing of a higher terminal rate.

→ Vice Chair Bowman's supervisory remit adds a secondary layer of focus on bank balance sheet health and capital adequacy, areas that indirectly affect credit availability and spreads across both IG and HY markets.

05 Agency MBS and securitized sectors did not have explicit spread or total return data available in this week's payload, but the rate environment is an unambiguously challenging backdrop for the asset class. With the 30-year Treasury at 5.29% and implied mortgage rates likely in the 7.0-7.5% range, prepayment speeds remain suppressed as the existing mortgage universe sits deeply out-of-the-money — a dynamic that extends duration on current-coupon MBS and increases price sensitivity to further rate moves. The lack of prepayment optionality being exercised reduces reinvestment drag but does little to offset negative convexity at these rate levels.

→ In this environment, higher-coupon MBS vintages (originated in 2022-2023 at elevated rates) offer relatively more stable cash flow profiles and are worth monitoring for potential relative value opportunities versus benchmark Treasuries.

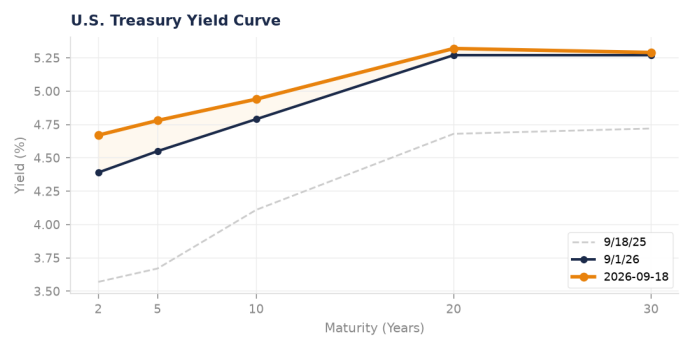
→ Fed balance sheet runoff of MBS continues to remove a significant price-insensitive buyer from the market, meaning the sector remains structurally dependent on bank and money manager demand to clear supply — a dynamic that could pressure spreads if rate volatility spikes.

06 Inflation and macro data context remains central to the rate narrative heading into the final weeks of September. The year-over-year yield moves — 10-year up 83 bps, 2-year up 110 bps relative to September 2025 — reflect a sustained reassessment of the terminal rate and the durability of above-target inflation, even as the absolute pace of CPI increases has moderated from peak levels. The market's willingness to price 10-year yields approaching 5.00% suggests lingering skepticism that inflation will return sustainably to the 2% target on a near-term horizon, with growth resilience providing limited cover for the Fed to cut prematurely.

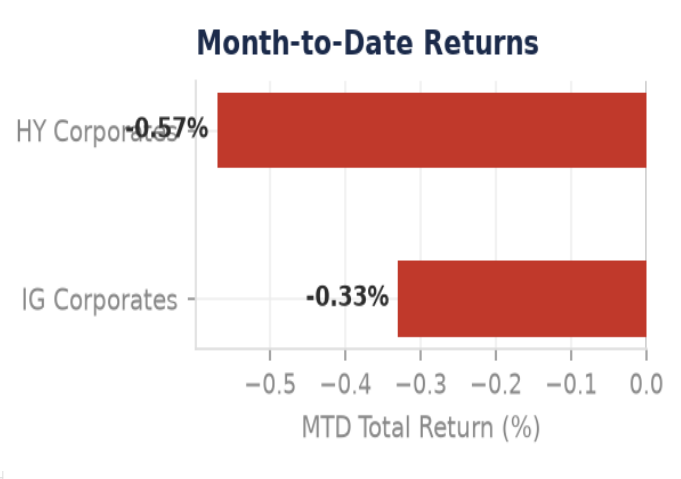
→ The upcoming September CPI print will be a pivotal data point — a surprise to the upside would likely push the 10-year through the 5.00% threshold and further pressure duration-heavy portfolios across IG, MBS, and Treasuries.

→ Managers should consider the asymmetric risk profile at current yield levels: while the carry pickup from holding duration is more attractive than it has been in years, the potential for further repricing in a sticky-inflation scenario argues for maintaining a modest short-duration tilt relative to benchmark.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.67	4.78	4.94	5.32	5.29
MTD (bps)	+28	+23	+15	+5	+2



Sector	OAS (bps)	MTD Chg
IG Corporate	78	-3
HY Corporate	270	+5

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.67%	2026-09-17	FRED:DGS2
5yr Treasury	4.78%	2026-09-17	FRED:DGS5
10yr Treasury	4.94%	2026-09-17	FRED:DGS10
20yr Treasury	5.32%	2026-09-17	FRED:DGS20
30yr Treasury	5.29%	2026-09-17	FRED:DGS30
IG OAS	78.0 bps	2026-09-17	FRED:BAMLC0A0CM
HY OAS	270.0 bps	2026-09-17	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	-0.33%	2026-09-17	FRED:BAMLC0A0CMTRIV
HY Corporates MTD Return	-0.57%	2026-09-17	FRED:BAMLHYH0A0HYM2TRIV